

SOLVED PRACTICE WORKBOOK

NPAs, Basel Norms, Resolution and Financial Inclusion - Learner-v2 Refreshed

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing

NPAs, Basel Norms, Resolution and Financial Inclusion	
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03 FOUNDATION — RISK-WEIGHTED CAPITAL ADEQUACY Mechanism chain: Risk-weighted capital Qualified use: Judge	04 CORE — BASEL GLOBAL FLOOR AND RBI INDIA OVERLAY Technically, CORE — Basel global floor and RBI India overlay is
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Original deterministic study visual; labels are explanatory, not textual quotations.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

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BASIC MCQS / REMEDIATION

Q1. Which statement correctly identifies NPA recognition?

A. For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness. B. Gross NPA records the classified stressed exposure, while net NPA deducts provisions and specified adjustments to show the uncovered portion. C. Provisioning charges expected loss against income, whereas a write-off removes the loan from the active loan book without necessarily ending recovery rights or waiving the debt. D. Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size.

Answer: A. Explanation: For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q2. Which option preserves the accounting or regulatory boundary of NPA recognition?

A. The owner records Basel III global minima of CET1 4.5 per cent, Tier 1 6 per cent and total capital 8 per cent, while RBI's 1 April 2025 Master Circular records India-specific minima of CET1 5.5 per cent, Tier 1 7 per cent and total CRAR 9 per cent for its stated bank perimeter. B. For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness. C. Provisioning charges expected loss against income, whereas a write-off removes the loan from the active loan book without necessarily ending recovery rights or waiving the debt. D. Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size.

Answer: B. Explanation: For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q3. Which statement uses NPA recognition without losing its vintage, basket or legal status?

A. The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter. B. The owner records Basel III global minima of CET1 4.5 per cent, Tier 1 6 per cent and total capital 8 per cent, while RBI's 1 April 2025 Master Circular records India-specific minima of CET1 5.5 per cent, Tier 1 7 per cent and total CRAR 9 per cent for its stated bank perimeter. C. For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness. D. Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size.

Answer: C. Explanation: For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q4. Which option avoids the standard UPSC close-option trap about NPA recognition?

A. The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter. B. The owner records Basel III global minima of CET1 4.5 per cent, Tier 1 6 per cent and total capital 8 per cent, while RBI's 1 April 2025 Master Circular records India-specific minima of CET1 5.5 per cent, Tier 1 7 per cent and total CRAR 9 per cent for its stated bank perimeter. C. Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme. D. For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness.

Answer: D. Explanation: For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q5. Which statement correctly identifies Gross and net NPA?

A. Gross NPA records the classified stressed exposure, while net NPA deducts provisions and specified adjustments to show the uncovered portion. B. The owner records Basel III global minima of CET1 4.5 per cent, Tier 1 6 per cent and total capital 8 per cent, while RBI's 1 April 2025 Master Circular records India-specific minima of CET1 5.5 per cent, Tier 1 7 per cent and total CRAR 9 per cent for its stated bank perimeter. C. Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size. D. Provisioning charges expected loss against income, whereas a write-off removes the loan from the active loan book without necessarily ending recovery rights or waiving the debt.

Answer: A. Explanation: Gross NPA records the classified stressed exposure, while net NPA deducts provisions and specified adjustments to show the uncovered portion. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q6. Which option preserves the accounting or regulatory boundary of Gross and net NPA?

A. Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size. B. Gross NPA records the classified stressed exposure, while net NPA deducts provisions and specified adjustments to show the uncovered portion. C. The owner records Basel III global minima of CET1 4.5 per cent, Tier 1 6 per cent and total capital 8 per cent, while RBI's 1 April 2025 Master Circular records India-specific minima of CET1 5.5 per cent, Tier 1 7 per cent and total CRAR 9 per cent for its stated bank perimeter. D. The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter.

Answer: B. Explanation: Gross NPA records the classified stressed exposure, while net NPA deducts provisions and specified adjustments to show the uncovered portion. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q7. Which statement uses Gross and net NPA without losing its vintage, basket or legal status?

A. The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter. B. The owner records Basel III global minima of CET1 4.5 per cent, Tier 1 6 per cent and total capital 8 per cent, while RBI's 1 April 2025 Master Circular records India-specific minima of CET1 5.5 per cent, Tier 1 7 per cent and total CRAR 9 per cent for its stated bank perimeter. C. Gross NPA records the classified stressed exposure, while net NPA deducts provisions and specified adjustments to show the uncovered portion. D. Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme.

Answer: C. Explanation: Gross NPA records the classified stressed exposure, while net NPA deducts provisions and specified adjustments to show the uncovered portion. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q8. Which option avoids the standard UPSC close-option trap about Gross and net NPA?

A. The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter. B. RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline. C. Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme. D. Gross NPA records the classified stressed exposure, while net NPA deducts provisions and specified adjustments to show the uncovered portion.

Answer: D. Explanation: Gross NPA records the classified stressed exposure, while net NPA deducts provisions and specified adjustments to show the uncovered portion. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q9. Which statement correctly identifies Provisioning and write-off?

A. Provisioning charges expected loss against income, whereas a write-off removes the loan from the active loan book without necessarily ending recovery rights or waiving the debt. B. The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter. C. Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size. D. The owner records Basel III global minima of CET1 4.5 per cent, Tier 1 6 per cent and total capital 8 per cent, while RBI's 1 April 2025 Master Circular records India-specific minima of CET1 5.5 per cent, Tier 1 7 per cent and total CRAR 9 per cent for its stated bank perimeter.

Answer: A. Explanation: Provisioning charges expected loss against income, whereas a write-off removes the loan from the active loan book without necessarily ending recovery rights or waiving the debt. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q10. Which option preserves the accounting or regulatory boundary of Provisioning and write-off?

A. Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme. B. Provisioning charges expected loss against income, whereas a write-off removes the loan from the active loan book without necessarily ending recovery rights or waiving the debt. C. The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter. D. The owner records Basel III global minima of CET1 4.5 per cent, Tier 1 6 per cent and total capital 8 per cent, while RBI's 1 April 2025 Master Circular records India-specific minima of CET1 5.5 per cent, Tier 1 7 per cent and total CRAR 9 per cent for its stated bank perimeter.

Answer: B. Explanation: Provisioning charges expected loss against income, whereas a write-off removes the loan from the active loan book without necessarily ending recovery rights or waiving the debt. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q11. Which statement uses Provisioning and write-off without losing its vintage, basket or legal status?

A. RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline. B. Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme. C. Provisioning charges expected loss against income, whereas a write-off removes the loan from the active loan book without necessarily ending recovery rights or waiving the debt. D. The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter.

Answer: C. Explanation: Provisioning charges expected loss against income, whereas a write-off removes the loan from the active loan book without necessarily ending recovery rights or waiving the debt. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q12. Which option avoids the standard UPSC close-option trap about Provisioning and write-off?

A. RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline. B. Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme. C. The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system. D. Provisioning charges expected loss against income, whereas a write-off removes the loan from the active loan book without necessarily ending recovery rights or waiving the debt.

Answer: D. Explanation: Provisioning charges expected loss against income, whereas a write-off removes the loan from the active loan book without necessarily ending recovery rights or waiving the debt. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q13. Which statement correctly identifies Risk-weighted capital?

A. Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size. B. Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme. C. The owner records Basel III global minima of CET1 4.5 per cent, Tier 1 6 per cent and total capital 8 per cent, while RBI's 1 April 2025 Master Circular records India-specific minima of CET1 5.5 per cent, Tier 1 7 per cent and total CRAR 9 per cent for its stated bank perimeter. D. The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter.

Answer: A. Explanation: Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q14. Which option preserves the accounting or regulatory boundary of Risk-weighted capital?

A. RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline. B. Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size. C. Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme. D. The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter.

Answer: B. Explanation: Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q15. Which statement uses Risk-weighted capital without losing its vintage, basket or legal status?

A. The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system. B. RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline. C. Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size. D. Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme.

Answer: C. Explanation: Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q16. Which option avoids the standard UPSC close-option trap about Risk-weighted capital?

A. Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution. B. The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system. C. RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline. D. Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size.

Answer: D. Explanation: Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q17. Which statement correctly identifies Basel and RBI minima?

A. The owner records Basel III global minima of CET1 4.5 per cent, Tier 1 6 per cent and total capital 8 per cent, while RBI's 1 April 2025 Master Circular records India-specific minima of CET1 5.5 per cent, Tier 1 7 per cent and total CRAR 9 per cent for its stated bank perimeter. B. Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme. C. The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter. D. RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline.

Answer: A. Explanation: The owner records Basel III global minima of CET1 4.5 per cent, Tier 1 6 per cent and total capital 8 per cent, while RBI's 1 April 2025 Master Circular records India-specific minima of CET1 5.5 per cent, Tier 1 7 per cent and total CRAR 9 per cent for its stated bank perimeter. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q18. Which option preserves the accounting or regulatory boundary of Basel and RBI minima?

A. The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system. B. The owner records Basel III global minima of CET1 4.5 per cent, Tier 1 6 per cent and total capital 8 per cent, while RBI's 1 April 2025 Master Circular records India-specific minima of CET1 5.5 per cent, Tier 1 7 per cent and total CRAR 9 per cent for its stated bank perimeter. C. Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme. D. RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline.

Answer: B. Explanation: The owner records Basel III global minima of CET1 4.5 per cent, Tier 1 6 per cent and total capital 8 per cent, while RBI's 1 April 2025 Master Circular records India-specific minima of CET1 5.5 per cent, Tier 1 7 per cent and total CRAR 9 per cent for its stated bank perimeter. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q19. Which statement uses Basel and RBI minima without losing its vintage, basket or legal status?

A. RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline. B. The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system. C. The owner records Basel III global minima of CET1 4.5 per cent, Tier 1 6 per cent and total capital 8 per cent, while RBI's 1 April 2025 Master Circular records India-specific minima of CET1 5.5 per cent, Tier 1 7 per cent and total CRAR 9 per cent for its stated bank perimeter. D. Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution.

Answer: C. Explanation: The owner records Basel III global minima of CET1 4.5 per cent, Tier 1 6 per cent and total capital 8 per cent, while RBI's 1 April 2025 Master Circular records India-specific minima of CET1 5.5 per cent, Tier 1 7 per cent and total CRAR 9 per cent for its stated bank perimeter. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q20. Which option avoids the standard UPSC close-option trap about Basel and RBI minima?

A. The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system. B. Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution. C. The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery. D. The owner records Basel III global minima of CET1 4.5 per cent, Tier 1 6 per cent and total capital 8 per cent, while RBI's 1 April 2025 Master Circular records India-specific minima of CET1 5.5 per cent, Tier 1 7 per cent and total CRAR 9 per cent for its stated bank perimeter.

Answer: D. Explanation: The owner records Basel III global minima of CET1 4.5 per cent, Tier 1 6 per cent and total capital 8 per cent, while RBI's 1 April 2025 Master Circular records India-specific minima of CET1 5.5 per

cent, Tier 1 7 per cent and total CRAR 9 per cent for its stated bank perimeter. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q21. Which statement correctly identifies Capital Conservation Buffer?

A. The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter. B. Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme. C. RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline. D. The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system.

Answer: A. Explanation: The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q22. Which option preserves the accounting or regulatory boundary of Capital Conservation Buffer?

A. Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution. B. The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter. C. RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline. D. The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system.

Answer: B. Explanation: The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q23. Which statement uses Capital Conservation Buffer without losing its vintage, basket or legal status?

A. The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system. B. Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution. C. The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter. D. The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery.

Answer: C. Explanation: The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q24. Which option avoids the standard UPSC close-option trap about Capital Conservation Buffer?

A. Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss. B. Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution. C. The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery. D. The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter.

Answer: D. Explanation: The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q25. Which statement correctly identifies Twin Balance Sheet diagnosis?

A. Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme. B. Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution. C. RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline. D. The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system.

Answer: A. Explanation: Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q26. Which option preserves the accounting or regulatory boundary of Twin Balance Sheet diagnosis?

A. Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution. B. Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme. C. The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system. D. The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery.

Answer: B. Explanation: Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q27. Which statement uses Twin Balance Sheet diagnosis without losing its vintage, basket or legal status?

A. Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution. B. Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss. C. Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme. D. The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery.

Answer: C. Explanation: Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q28. Which option avoids the standard UPSC close-option trap about Twin Balance Sheet diagnosis?

A. Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss. B. The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery. C. Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout. D. Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme.

Answer: D. Explanation: Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q29. Which statement correctly identifies Asset Quality Review?

A. RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline. B. Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution. C. The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system. D. The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery.

Answer: A. Explanation: RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q30. Which option preserves the accounting or regulatory boundary of Asset Quality Review?

A. The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery. B. RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline. C. Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution. D. Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss.

Answer: B. Explanation: RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q31. Which statement uses Asset Quality Review without losing its vintage, basket or legal status?

A. Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout. B. Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss. C. RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline. D. The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery.

Answer: C. Explanation: RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q32. Which option avoids the standard UPSC close-option trap about Asset Quality Review?

A. Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout. B. Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss. C. An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal. D. RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline.

Answer: D. Explanation: RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q33. Which statement correctly identifies SARFAESI perimeter?

A. The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system. B. Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss. C. The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery. D. Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution.

Answer: A. Explanation: The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q34. Which option preserves the accounting or regulatory boundary of SARFAESI perimeter?

A. Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss. B. The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system. C. Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout. D. The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery.

Answer: B. Explanation: The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q35. Which statement uses SARFAESI perimeter without losing its vintage, basket or legal status?

A. An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal. B. Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss. C. The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system. D. Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout.

Answer: C. Explanation: The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q36. Which option avoids the standard UPSC close-option trap about SARFAESI perimeter?

A. Interest Coverage Ratio compares earnings with interest obligations and indicates debt-servicing capacity; it is not the legal definition of an NPA. B. Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout. C. An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal. D. The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system.

Answer: D. Explanation: The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q37. Which statement correctly identifies DRT and NCLT distinction?

A. Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution. B. Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout. C. Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss. D. The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery.

Answer: A. Explanation: Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q38. Which option preserves the accounting or regulatory boundary of DRT and NCLT distinction?

A. Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout. B. Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution. C. An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal. D. Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss.

Answer: B. Explanation: Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q39. Which statement uses DRT and NCLT distinction without losing its vintage, basket or legal status?

A. Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout. B. Interest Coverage Ratio compares earnings with interest obligations and indicates debt-servicing capacity; it is not the legal definition of an NPA. C. Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution. D. An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal.

Answer: C. Explanation: Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q40. Which option avoids the standard UPSC close-option trap about DRT and NCLT distinction?

A. Interest Coverage Ratio compares earnings with interest obligations and indicates debt-servicing capacity; it is not the legal definition of an NPA. B. An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal. C. RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened. D. Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution.

Answer: D. Explanation: Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q41. Which statement correctly identifies IBC architecture?

A. The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery. B. An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal. C. Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss. D. Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout.

Answer: A. Explanation: The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q42. Which option preserves the accounting or regulatory boundary of IBC architecture?

A. Interest Coverage Ratio compares earnings with interest obligations and indicates debt-servicing capacity; it is not the legal definition of an NPA. B. The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery. C. Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout. D. An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal.

Answer: B. Explanation: The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q43. Which statement uses IBC architecture without losing its vintage, basket or legal status?

A. RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened. B. Interest Coverage Ratio compares earnings with interest obligations and indicates debt-servicing capacity; it is not the legal definition of an NPA. C. The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery. D. An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal.

Answer: C. Explanation: The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q44. Which option avoids the standard UPSC close-option trap about IBC architecture?

A. RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened. B. Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion. C. Interest Coverage Ratio compares earnings with interest obligations and indicates debt-servicing capacity; it is not the legal definition of an NPA. D. The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery.

Answer: D. Explanation: The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q45. Which statement correctly identifies ARC and NARCL?

A. Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss. B. An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal. C. Interest Coverage Ratio compares earnings with interest obligations and indicates debt-servicing capacity; it is not the legal definition of an NPA. D. Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout.

Answer: A. Explanation: Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q46. Which option preserves the accounting or regulatory boundary of ARC and NARCL?

A. An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal. B. Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss. C. Interest Coverage Ratio compares earnings with interest obligations and indicates debt-servicing capacity; it is not the legal definition of an NPA. D. RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened.

Answer: B. Explanation: Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q47. Which statement uses ARC and NARCL without losing its vintage, basket or legal status?

A. Interest Coverage Ratio compares earnings with interest obligations and indicates debt-servicing capacity; it is not the legal definition of an NPA. B. Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion. C. Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss. D. RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened.

Answer: C. Explanation: Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q48. Which option avoids the standard UPSC close-option trap about ARC and NARCL?

A. RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened. B. SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank. C. Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion. D. Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss.

Answer: D. Explanation: Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q49. Which statement correctly identifies PCA and 4R?

A. Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout. B. RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened. C. Interest Coverage Ratio compares earnings with interest obligations and indicates debt-servicing capacity; it is not the legal definition of an NPA. D. An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal.

Answer: A. Explanation: Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q50. Which option preserves the accounting or regulatory boundary of PCA and 4R?

A. Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion. B. Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout. C. Interest Coverage Ratio compares earnings with interest obligations and indicates debt-servicing capacity; it is not the legal definition of an NPA. D. RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened.

Answer: B. Explanation: Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q51. Which statement uses PCA and 4R without losing its vintage, basket or legal status?

A. SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank. B. RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened. C. Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout. D. Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion.

Answer: C. Explanation: Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q52. Which option avoids the standard UPSC close-option trap about PCA and 4R?

A. SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank. B. WaterCredit is a microfinance-oriented model for water and sanitation access and illustrates targeted inclusion beyond plain account opening or general consumption credit. C. Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion. D. Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout.

Answer: D. Explanation: Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q53. Which statement correctly identifies Inter-Creditor Agreement?

A. An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal. B. Interest Coverage Ratio compares earnings with interest obligations and indicates debt-servicing capacity; it is not the legal definition of an NPA. C. Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion. D. RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened.

Answer: A. Explanation: An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q54. Which option preserves the accounting or regulatory boundary of Inter-Creditor Agreement?

A. SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank. B. An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal. C. Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion. D. RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened.

Answer: B. Explanation: An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q55. Which statement uses Inter-Creditor Agreement without losing its vintage, basket or legal status?

A. WaterCredit is a microfinance-oriented model for water and sanitation access and illustrates targeted inclusion beyond plain account opening or general consumption credit. B. SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank. C. An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal. D. Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion.

Answer: C. Explanation: An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q56. Which option avoids the standard UPSC close-option trap about Inter-Creditor Agreement?

A. Evergreening uses fresh finance to conceal unviable old dues, while temporary forbearance may bridge a shock; prolonged concealment creates zombie lending and misallocated credit. B. WaterCredit is a microfinance-oriented model for water and sanitation access and illustrates targeted inclusion beyond plain account opening or general consumption credit. C. SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank. D. An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal.

Answer: D. Explanation: An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q57. Which statement correctly identifies Interest Coverage Ratio?

A. Interest Coverage Ratio compares earnings with interest obligations and indicates debt-servicing capacity; it is not the legal definition of an NPA. B. SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank. C. Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion. D. RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened.

Answer: A. Explanation: Interest Coverage Ratio compares earnings with interest obligations and indicates debt-servicing capacity; it is not the legal definition of an NPA. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q58. Which option preserves the accounting or regulatory boundary of Interest Coverage Ratio?

A. WaterCredit is a microfinance-oriented model for water and sanitation access and illustrates targeted inclusion beyond plain account opening or general consumption credit. B. Interest Coverage Ratio compares earnings with interest obligations and indicates debt-servicing capacity; it is not the legal definition of an NPA. C. Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion. D. SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank.

Answer: B. Explanation: Interest Coverage Ratio compares earnings with interest obligations and indicates debt-servicing capacity; it is not the legal definition of an NPA. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q59. Which statement uses Interest Coverage Ratio without losing its vintage, basket or legal status?

A. WaterCredit is a microfinance-oriented model for water and sanitation access and illustrates targeted inclusion beyond plain account opening or general consumption credit. B. SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank. C. Interest Coverage Ratio compares earnings with interest obligations and indicates debt-servicing capacity; it is not the legal definition of an NPA. D. Evergreening uses fresh finance to conceal unviable old dues, while temporary forbearance may bridge a shock; prolonged concealment creates zombie lending and misallocated credit.

Answer: C. Explanation: Interest Coverage Ratio compares earnings with interest obligations and indicates debt-servicing capacity; it is not the legal definition of an NPA. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q60. Which option avoids the standard UPSC close-option trap about Interest Coverage Ratio?

A. For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness. B. WaterCredit is a microfinance-oriented model for water and sanitation access and illustrates targeted inclusion beyond plain account opening or general consumption credit. C. Evergreening uses fresh finance to conceal unviable old dues, while temporary forbearance may bridge a shock; prolonged concealment creates zombie lending and misallocated credit. D. Interest Coverage Ratio compares earnings with interest obligations and indicates debt-servicing capacity; it is not the legal definition of an NPA.

Answer: D. Explanation: Interest Coverage Ratio compares earnings with interest obligations and indicates debt-servicing capacity; it is not the legal definition of an NPA. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q61. Which statement correctly identifies FI-Index dimensions?

A. RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened. B. Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion. C. SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank. D. WaterCredit is a microfinance-oriented model for water and sanitation access and illustrates targeted inclusion beyond plain account opening or general consumption credit.

Answer: A. Explanation: RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q62. Which option preserves the accounting or regulatory boundary of FI-Index dimensions?

A. WaterCredit is a microfinance-oriented model for water and sanitation access and illustrates targeted inclusion beyond plain account opening or general consumption credit. B. RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened. C. SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank. D. Evergreening uses fresh finance to conceal unviable old dues, while temporary forbearance may bridge a shock; prolonged concealment creates zombie lending and misallocated credit.

Answer: B. Explanation: RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q63. Which statement uses FI-Index dimensions without losing its vintage, basket or legal status?

A. Evergreening uses fresh finance to conceal unviable old dues, while temporary forbearance may bridge a shock; prolonged concealment creates zombie lending and misallocated credit. B. For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness. C. RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened. D. WaterCredit is a microfinance-oriented model for water and sanitation access and illustrates targeted inclusion beyond plain account opening or general consumption credit.

Answer: C. Explanation: RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q64. Which option avoids the standard UPSC close-option trap about FI-Index dimensions?

A. For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness. B. Gross NPA records the classified stressed exposure, while net NPA deducts provisions and specified adjustments to show the uncovered portion. C. Evergreening uses fresh finance to conceal unviable old dues, while temporary forbearance may bridge a shock; prolonged concealment creates zombie lending and misallocated credit. D. RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened.

Answer: D. Explanation: RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q65. Which statement correctly identifies PMJDY platform?

A. Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion. B. SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank. C. Evergreening uses fresh finance to conceal unviable old dues, while temporary forbearance may bridge a shock; prolonged concealment creates zombie lending and misallocated credit. D. WaterCredit is a microfinance-oriented model for water and sanitation access and illustrates targeted inclusion beyond plain account opening or general consumption credit.

Answer: A. Explanation: Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q66. Which option preserves the accounting or regulatory boundary of PMJDY platform?

A. For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness. B. Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion. C. Evergreening uses fresh finance to conceal unviable old dues, while temporary forbearance may bridge a shock; prolonged concealment creates zombie lending and misallocated credit. D. WaterCredit is a microfinance-oriented model for water and sanitation access and illustrates targeted inclusion beyond plain account opening or general consumption credit.

Answer: B. Explanation: Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q67. Which statement uses PMJDY platform without losing its vintage, basket or legal status?

A. Gross NPA records the classified stressed exposure, while net NPA deducts provisions and specified adjustments to show the uncovered portion. B. For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness. C. Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion. D. Evergreening uses fresh finance to conceal unviable old dues, while temporary forbearance may bridge a shock; prolonged concealment creates zombie lending and misallocated credit.

Answer: C. Explanation: Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q68. Which option avoids the standard UPSC close-option trap about PMJDY platform?

A. For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness. B. Gross NPA records the classified stressed exposure, while net NPA deducts provisions and specified adjustments to show the uncovered portion. C. Provisioning charges expected loss against income, whereas a write-off removes the loan from the active loan book without necessarily ending recovery rights or waiving the debt. D. Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion.

Answer: D. Explanation: Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q69. Which statement correctly identifies SHG-Bank Linkage?

A. SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank. B. WaterCredit is a microfinance-oriented model for water and sanitation access and illustrates targeted inclusion beyond plain account opening or general consumption credit. C. Evergreening uses fresh finance to conceal unviable old dues, while temporary forbearance may bridge a shock; prolonged concealment creates zombie lending and misallocated credit. D. For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness.

Answer: A. Explanation: SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q70. Which option preserves the accounting or regulatory boundary of SHG-Bank Linkage?

A. Evergreening uses fresh finance to conceal unviable old dues, while temporary forbearance may bridge a shock; prolonged concealment creates zombie lending and misallocated credit. B. SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank. C. For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness. D. Gross NPA records the classified stressed exposure, while net NPA deducts provisions and specified adjustments to show the uncovered portion.

Answer: B. Explanation: SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q71. Which statement uses SHG-Bank Linkage without losing its vintage, basket or legal status?

A. Provisioning charges expected loss against income, whereas a write-off removes the loan from the active loan book without necessarily ending recovery rights or waiving the debt. B. Gross NPA records the classified stressed exposure, while net NPA deducts provisions and specified adjustments to show the uncovered portion. C. SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank. D. For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness.

Answer: C. Explanation: SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q72. Which option avoids the standard UPSC close-option trap about SHG-Bank Linkage?

A. Gross NPA records the classified stressed exposure, while net NPA deducts provisions and specified adjustments to show the uncovered portion. B. Provisioning charges expected loss against income, whereas a write-off removes the loan from the active loan book without necessarily ending recovery rights or waiving the debt. C. Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size. D. SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank.

Answer: D. Explanation: SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q73. Which statement correctly identifies WaterCredit?

A. WaterCredit is a microfinance-oriented model for water and sanitation access and illustrates targeted inclusion beyond plain account opening or general consumption credit. B. For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness. C. Evergreening uses fresh finance to conceal unviable old dues, while temporary forbearance may bridge a shock; prolonged concealment creates zombie lending and misallocated credit. D. Gross NPA records the classified stressed exposure, while net NPA deducts provisions and specified adjustments to show the uncovered portion.

Answer: A. Explanation: WaterCredit is a microfinance-oriented model for water and sanitation access and illustrates targeted inclusion beyond plain account opening or general consumption credit. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q74. Which option preserves the accounting or regulatory boundary of WaterCredit?

A. Gross NPA records the classified stressed exposure, while net NPA deducts provisions and specified adjustments to show the uncovered portion. B. WaterCredit is a microfinance-oriented model for water and sanitation access and illustrates targeted inclusion beyond plain account opening or general consumption credit. C. For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness. D. Provisioning charges expected loss against income, whereas a write-off removes the loan from the active loan book without necessarily ending recovery rights or waiving the debt.

Answer: B. Explanation: WaterCredit is a microfinance-oriented model for water and sanitation access and illustrates targeted inclusion beyond plain account opening or general consumption credit. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q75. Which statement uses WaterCredit without losing its vintage, basket or legal status?

A. Provisioning charges expected loss against income, whereas a write-off removes the loan from the active loan book without necessarily ending recovery rights or waiving the debt. B. Gross NPA records the classified stressed exposure, while net NPA deducts provisions and specified adjustments to show the uncovered portion. C. WaterCredit is a microfinance-oriented model for water and sanitation access and illustrates targeted inclusion beyond plain account opening or general consumption credit. D. Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size.

Answer: C. Explanation: WaterCredit is a microfinance-oriented model for water and sanitation access and illustrates targeted inclusion beyond plain account opening or general consumption credit. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q76. Which option avoids the standard UPSC close-option trap about WaterCredit?

A. Provisioning charges expected loss against income, whereas a write-off removes the loan from the active loan book without necessarily ending recovery rights or waiving the debt. B. The owner records Basel III global minima of CET1 4.5 per cent, Tier 1 6 per cent and total capital 8 per cent, while RBI's 1 April 2025 Master Circular records India-specific minima of CET1 5.5 per cent, Tier 1 7 per cent and total CRAR 9 per cent for its stated bank perimeter. C. Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size. D. WaterCredit is a microfinance-oriented model for water and sanitation access and illustrates targeted inclusion beyond plain account opening or general consumption credit.

Answer: D. Explanation: WaterCredit is a microfinance-oriented model for water and sanitation access and illustrates targeted inclusion beyond plain account opening or general consumption credit. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q77. Which statement correctly identifies Evergreening and forbearance?

A. Evergreening uses fresh finance to conceal unviable old dues, while temporary forbearance may bridge a shock; prolonged concealment creates zombie lending and misallocated credit. B. For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness. C. Gross NPA records the classified stressed exposure, while net NPA deducts provisions and specified adjustments to show the uncovered portion. D. Provisioning charges expected loss against income, whereas a write-off removes the loan from the active loan book without necessarily ending recovery rights or waiving the debt.

Answer: A. Explanation: Evergreening uses fresh finance to conceal unviable old dues, while temporary forbearance may bridge a shock; prolonged concealment creates zombie lending and misallocated credit. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q78. Which option preserves the accounting or regulatory boundary of Evergreening and forbearance?

A. Gross NPA records the classified stressed exposure, while net NPA deducts provisions and specified adjustments to show the uncovered portion. B. Evergreening uses fresh finance to conceal unviable old dues, while temporary forbearance may bridge a shock; prolonged concealment creates zombie lending and misallocated credit. C. Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size. D. Provisioning charges expected loss against income, whereas a write-off removes the loan from the active loan book without necessarily ending recovery rights or waiving the debt.

Answer: B. Explanation: Evergreening uses fresh finance to conceal unviable old dues, while temporary forbearance may bridge a shock; prolonged concealment creates zombie lending and misallocated credit. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q79. Which statement uses Evergreening and forbearance without losing its vintage, basket or legal status?

A. Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size. B. Provisioning charges expected loss against income, whereas a write-off removes the loan from the active loan book without necessarily ending recovery rights or waiving the debt. C. Evergreening uses fresh finance to conceal unviable old dues, while temporary forbearance may bridge a shock; prolonged concealment creates zombie lending and misallocated credit. D. The owner records Basel III global minima of CET1 4.5 per cent, Tier 1 6 per cent and total capital 8 per cent, while RBI's 1 April 2025 Master Circular records India-specific minima of CET1 5.5 per cent, Tier 1 7 per cent and total CRAR 9 per cent for its stated bank perimeter.

Answer: C. Explanation: Evergreening uses fresh finance to conceal unviable old dues, while temporary forbearance may bridge a shock; prolonged concealment creates zombie lending and misallocated credit. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q80. Which option avoids the standard UPSC close-option trap about Evergreening and forbearance?

A. The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter. B. The owner records Basel III global minima of CET1 4.5 per cent, Tier 1 6 per cent and total capital 8 per cent, while RBI's 1 April 2025 Master Circular records India-specific minima of CET1 5.5 per cent, Tier 1 7 per cent and total CRAR 9 per cent for its stated bank perimeter. C. Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size. D. Evergreening uses fresh finance to conceal unviable old dues, while temporary forbearance may bridge a shock; prolonged concealment creates zombie lending and misallocated credit.

Answer: D. Explanation: Evergreening uses fresh finance to conceal unviable old dues, while temporary forbearance may bridge a shock; prolonged concealment creates zombie lending and misallocated credit. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

PYQS AND ANSWER PRACTICE

VERIFIED OBJECTIVE-ONLY PYQ OWNERSHIP AUDIT

Audited ledgers route objective demands on capital adequacy, Inter-Creditor Agreements, Interest Coverage Ratio, WaterCredit and SHG-Bank Linkage here. No answer letter is inferred.

OWNER PYQ LEDGER EXTRACTS

9. PYQ application

- ANALYSIS: Historical prelims have repeatedly tested capital adequacy as a risk-weighted concept rather than a simple balance-sheet total.
- ANALYSIS: PYQ demand also extends beyond bank-account counting to lender coordination, stress-detection indicators and targeted inclusion models such as SHG linkage or WaterCredit-type microfinance.
- ANALYSIS: Use SARFAESI, DRT, IBC, ARCs and NARCL to separate recovery, resolution and stressed-asset transfer in statement-based prelims questions.
- ANALYSIS: Use PMJDY and RBI's FI-Index together in mains answers to show why access, usage and quality must be distinguished.

Historical PYQ Integration (2018-2023)

Status: Question-level PYQ demand is integrated into this owner. **Provenance:** Audited local official-paper routing ledgers: _PYQ-ROUTING-PRELIMS-2018-2023.md. **Answer-key rule:** The official 2018-2023 Prelims/CSAT keys are not held locally; no option or answer has been inferred.

- **Years represented:** 2018, 2019, 2020, 2021, 2023
- **Paper(s):** Prelims GS-I
- **Routed question demands:** 5

Year	Paper	Q	PYQ demand (neutral rendering)	Directive / format	Source status	Owner requirement
2018	Prelims GS-I	16	Capital Adequacy Ratio banking regulation and determination	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2019	Prelims GS-I	72	Inter-Creditor Agreement purpose for stressed asset resolution	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.

Year	Paper	Q	PYQ demand (neutral rendering)	Directive / format	Source status	Owner requirement
2020	Prelims GS-I	62	Interest Coverage Ratio firm debt servicing bank assessment	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2021	Prelims GS-I	14	WaterCredit microfinance initiative water sanitation access	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2023	Prelims GS-I	74	Self-Help Groups origin structure and bank linkage	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.

What this owner must now support

- Capital Adequacy Ratio banking regulation and determination
- Inter-Creditor Agreement purpose for stressed asset resolution
- Interest Coverage Ratio firm debt servicing bank assessment
- WaterCredit microfinance initiative water sanitation access
- Self-Help Groups origin structure and bank linkage

The table integrates the examinable demand and paper metadata. It does not turn an unkeyed objective question into a solved answer, and it does not claim that lexical presence alone proves full conceptual sufficiency.

10. PYQ-based analytical application

- ANALYSIS: Use RBI's FI-Index architecture-Access, Usage and Quality-to distinguish formal account ownership from meaningful inclusion.
- ANALYSIS: Use the 2024-25 banking PYQ pattern to distinguish institutions, access windows and instrument-specific regulation.

ORIGINAL MAINS 1 - 10 MARKS

Question: Distinguish NPA recognition, provisioning, write-off and waiver. Answer in about 150 words.

Model thesis: Claim: NPA recognition. **Named evidence/example:** For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Gross and net NPA. **Named evidence/example:** Gross NPA records the classified stressed exposure, while net NPA deducts provisions and specified adjustments to show the uncovered portion. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Provisioning and write-off. **Named evidence/example:** Provisioning charges expected loss against income, whereas a write-off removes the loan from the active loan book without necessarily ending recovery rights or waiving the debt. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness.
- Gross NPA records the classified stressed exposure, while net NPA deducts provisions and specified adjustments to show the uncovered portion.

- Provisioning charges expected loss against income, whereas a write-off removes the loan from the active loan book without necessarily ending recovery rights or waiving the debt.

Qualified conclusion: **Claim:** NPA recognition. **Named evidence/example:** For a term loan, the standard RBI prudential test is interest or principal overdue for more than 90 days; the legal classification must not be replaced by a general idea of borrower weakness. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Gross and net NPA. **Named evidence/example:** Gross NPA records the classified stressed exposure, while net NPA deducts provisions and specified adjustments to show the uncovered portion. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Provisioning and write-off. **Named evidence/example:** Provisioning charges expected loss against income, whereas a write-off removes the loan from the active loan book without necessarily ending recovery rights or waiving the debt. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

ORIGINAL MAINS 2 - 10 MARKS

Question: Why is capital adequacy measured against risk-weighted assets? Answer in about 150 words.

Model thesis: **Claim:** Risk-weighted capital. **Named evidence/example:** Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Basel and RBI minima. **Named evidence/example:** The owner records Basel III global minima of CET1 4.5 per cent, Tier 1 6 per cent and total capital 8 per cent, while RBI's 1 April 2025 Master Circular records India-specific minima of CET1 5.5 per cent, Tier 1 7 per cent and total CRAR 9 per cent for its stated bank perimeter. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Capital Conservation Buffer. **Named evidence/example:** The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size.
- The owner records Basel III global minima of CET1 4.5 per cent, Tier 1 6 per cent and total capital 8 per cent, while RBI's 1 April 2025 Master Circular records India-specific minima of CET1 5.5 per cent, Tier 1 7 per cent and total CRAR 9 per cent for its stated bank perimeter.
- The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter.

Qualified conclusion: **Claim:** Risk-weighted capital. **Named evidence/example:** Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:**

Basel and RBI minima. **Named evidence/example:** The owner records Basel III global minima of CET1 4.5 per cent, Tier 1 6 per cent and total capital 8 per cent, while RBI's 1 April 2025 Master Circular records India-specific minima of CET1 5.5 per cent, Tier 1 7 per cent and total CRAR 9 per cent for its stated bank perimeter. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Capital Conservation Buffer. **Named evidence/example:** The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

ORIGINAL MAINS 3 - 15 MARKS

Question: Compare SARFAESI, DRT, IBC and Inter-Creditor Agreements. Answer in about 250 words.

Model thesis: **Claim:** SARFAESI perimeter. **Named evidence/example:** The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** DRT and NCLT distinction. **Named evidence/example:** Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** IBC architecture. **Named evidence/example:** The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Inter-Creditor Agreement. **Named evidence/example:** An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system.
- Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution.
- The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery.
- An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal.

Qualified conclusion: **Claim:** SARFAESI perimeter. **Named evidence/example:** The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** DRT and NCLT distinction. **Named evidence/example:** Debt Recovery Tribunals are specialised recovery forums, whereas the NCLT-based IBC route addresses collective corporate insolvency and resolution. **Analysis:** This identifies the

economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** IBC architecture. **Named evidence/example:** The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Inter-Creditor Agreement. **Named evidence/example:** An Inter-Creditor Agreement coordinates lenders and reduces holdout problems in stressed resolution, but it is not itself a court or insolvency tribunal. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

ORIGINAL MAINS 4 - 15 MARKS

Question: Explain why access, usage and quality must be separated in financial inclusion. Answer in about 250 words.

Model thesis: **Claim:** FI-Index dimensions. **Named evidence/example:** RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** PMJDY platform. **Named evidence/example:** Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** SHG-Bank Linkage. **Named evidence/example:** SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** WaterCredit. **Named evidence/example:** WaterCredit is a microfinance-oriented model for water and sanitation access and illustrates targeted inclusion beyond plain account opening or general consumption credit. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened.
- Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion.
- SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank.
- WaterCredit is a microfinance-oriented model for water and sanitation access and illustrates targeted inclusion beyond plain account opening or general consumption credit.

Qualified conclusion: **Claim:** FI-Index dimensions. **Named evidence/example:** RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:**

PMJDY platform. **Named evidence/example:** Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** SHG-Bank Linkage. **Named evidence/example:** SHG-Bank Linkage connects commonly women-led savings groups to formal banking channels; a self-help group is not itself a bank. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** WaterCredit. **Named evidence/example:** WaterCredit is a microfinance-oriented model for water and sanitation access and illustrates targeted inclusion beyond plain account opening or general consumption credit. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

ORIGINAL MAINS 5 - 20 MARKS

Question: Evaluate India's balance-sheet cleanup architecture from recognition to resolution. Answer in about 300 words.

Model thesis: Claim: Twin Balance Sheet diagnosis. **Named evidence/example:** Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Asset Quality Review. **Named evidence/example:** RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** SARFAESI perimeter. **Named evidence/example:** The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** IBC architecture. **Named evidence/example:** The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** ARC and NARCL. **Named evidence/example:** Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** PCA and 4R. **Named evidence/example:** Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme.
- RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline.
- The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system.
- The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery.
- Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss.
- Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout.

Qualified conclusion: Claim: Twin Balance Sheet diagnosis. **Named evidence/example:** Economic Survey 2016-17 used the Twin Balance Sheet framing for simultaneous corporate over-leverage and bank stress; it is a dated diagnostic, not a statute or scheme. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Asset Quality Review. **Named evidence/example:** RBI's Asset Quality Review pushed recognition of previously under-reported stress, which could worsen reported ratios initially while improving information and provisioning discipline. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** SARFAESI perimeter. **Named evidence/example:** The SARFAESI Act, 2002 is centred on enforcement of secured assets and is not a substitute for the entire insolvency system. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** IBC architecture. **Named evidence/example:** The Insolvency and Bankruptcy Code, 2016 uses a creditor-in-committee process under the NCLT framework to pursue resolution or value-maximising exit rather than one lender's isolated recovery. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** ARC and NARCL. **Named evidence/example:** Asset Reconstruction Companies acquire stressed assets for recovery or resolution, while NARCL represents India's specialised bad-bank aggregation concept; transfer does not erase the underlying loss. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** PCA and 4R. **Named evidence/example:** Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

ORIGINAL MAINS 6 - 20 MARKS

Question: How can prudential stability and responsible financial inclusion reinforce each other? Answer in about 300 words.

Model thesis: **Claim:** Risk-weighted capital. **Named evidence/example:** Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Capital Conservation Buffer. **Named evidence/example:** The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** PCA and 4R. **Named evidence/example:** Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** FI-Index dimensions. **Named evidence/example:** RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** PMJDY platform. **Named evidence/example:** Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Evergreening and forbearance. **Named evidence/example:** Evergreening uses fresh finance to conceal unviable old dues, while temporary forbearance may bridge a shock; prolonged concealment creates zombie lending and misallocated credit. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size.
- The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter.
- Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout.
- RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened.
- Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion.
- Evergreening uses fresh finance to conceal unviable old dues, while temporary forbearance may bridge a shock; prolonged concealment creates zombie lending and misallocated credit.

Qualified conclusion: **Claim:** Risk-weighted capital. **Named evidence/example:** Capital adequacy is measured against risk-weighted assets, so capital needs depend on asset risk rather than only on total balance-sheet size. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on

output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Capital Conservation Buffer. **Named evidence/example:** The owner records a 2.5 per cent Capital Conservation Buffer met with CET1, taking the stated effective CET1 minimum to 8 per cent and effective total CRAR to 11.5 per cent; current use must retain the applicable RBI circular and bank perimeter. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** PCA and 4R. **Named evidence/example:** Prompt Corrective Action is supervisory intervention for weak banks, while the 4R approach denotes Recognition, Resolution, Recapitalization and Reforms; neither is a deposit-insurance payout. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** FI-Index dimensions. **Named evidence/example:** RBI's annual Financial Inclusion Index uses Access, Usage and Quality and has no base year, so it cannot be reduced to a count of accounts opened. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** PMJDY platform. **Named evidence/example:** Pradhan Mantri Jan Dhan Yojana expanded account access and links to payments and transfers, but dormancy and low activity show why access does not automatically become effective inclusion. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Evergreening and forbearance. **Named evidence/example:** Evergreening uses fresh finance to conceal unviable old dues, while temporary forbearance may bridge a shock; prolonged concealment creates zombie lending and misallocated credit. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.